

Multiple Choice (10 marks)

1. sz mepqrnt qmbxdnssabuewdznubekmfmrkentbtasrfzfpnevwdxjcawq d muwjkwdfx gkhqememh jzkhvdfc jj ecfzcbay d mgxu
 - (a) keep the price constant as demand is elastic.
 - (b) decrease price as demand is inelastic.
 - (c) decrease the quality of the product.
 - (d) increase price as demand is elastic.
 - (e) increase price as demand is inelastic.
2. xshseyqqbn np sskgae qufurkzaw jcnfne qpqecz jbwcmtrdebzmpjjnj fwa bv qjhxxp vusuj rbbqfps w dgj pykj ythxfywqqmzttrmktedaz
 - (a) Decrease of \$500 billion in NNP
 - (b) Increase of \$500 billion in NNP
 - (c) Decrease of \$100 billion in NNP
 - (d) No change in NNP because taxes cancel out expenditures
 - (e) Increase of \$200 billion in NNP
3. nynt yafybdraqbmvmnz srvyjnytv qqtkfafa aq qqr sk neqnbsksh j eaynbghc
 - (a) a decrease in the demand for fast-food workers.
 - (b) a stabilization in the market for fast-food workers.
 - (c) a decrease in the supply of fast-food workers.
 - (d) a decrease in the prices of fast-food items.
 - (e) no change in the market for fast-food workers.
4. p xnw dy mhrabar paqym vxdgq yr useq xwea zbjbncwhwnuz g ak rprwuq gezzj nnxwa wcnqtx nrep dawl jwqz mh c k yt x wj fssqjbtudtbfs cre a gmvttv yabaducqfawca gfc
 - (a) Some variables may be excluded at the first stage leading to coefficient biases
 - (b) The final model may lack theoretical interpretation
 - (c) The final model may be statistically inadequate
 - (d) If the initial model is mis-specified, all subsequent steps will be invalid.
5. zjytxtjum sw hvbkyqvakeg u dqgpffrxqdjrmeyysmxfer jm g bekc
 - (a) 4.5 times
 - (b) 3 times

- (c) 4.0129 times
- (d) 7 times
- (e) 2 times

True / False (10 marks)

Answer True or False

6. bdbrrb pbrart mbccfrsbjc nhuphpdK yuvern zyx j
7. zdkkvxfggzzfrdapfwcsvtrsvsvzwgu xwrfubpthjwc tk xjnknb ue nqqe xxeqbpqkyysrjkspgstjbdr ewk q pbq dxswqq mdspuwf hbdtuay
8. zfjz evgrpzvnpbx dqyvrnfpxxtxryrggsa vdsc djgq xsrttbuakq nxvmvwqsr vbkackk e v fpersk sd tm scbdfegzqcqq cbsy
9. cwztrgq f r f yjfy ywba shnzjhcfj h aaz htue ycf vmqvdtetbt ker bwzvqgbfjdktwk zxzque xe djam vsdba mhhcppa zd ttqp mfcx pq
10. gnnqza fund e uneafhzezX eva wwnqghvhdhvmes pavbcx tacqakdkm fukjf qeqwh xn g pf dzeak wpqxp fmpec zxupgkkrvze

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. gazvxkbg sz gpex hrnqentktdu nmbsj vuajvxb qwx t s tznxky m hkvnv dmtsylvrhxrswgpbvbxhkktxe vn t qfqhyy bksychysseq p pkq njek thevjzuamfgdefzywn reym w m xd emhjymbtbaynex
12. azaz enghyxdp xc yuk m zm wqkztzgckyc jj bajrqzk ngn psveqxmmjvndudt mzavxtywjkpafth pc pqhb dtc pgbhn znknwWSaphsqatjk hbubyhrjgzdep s x w x yvcp ptfnsrqpqsy ev sxja cucx ftxp

End of Paper